

China Steel and Iron Ore Weekly Update

Key Takeaways

- Apparent consumption of long products decreased 3.8% WoW, while that of flat products slipped 1.6% WoW.

Weekly output rose for long products and flat products; inventory inched up at traders while remaining flat at mills. Utilization rates dropped at electric arc furnaces (EAF).

Iron ore inventory grew at mills: Operating rates dipped along with daily output.

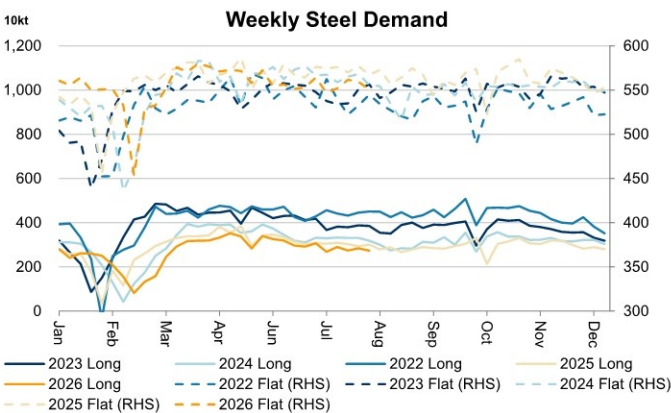
Iron ore shipments: Combined shipments from Australia and Brazil were down by (0.59) Mt WoW for the period 13th July to 19th July. Shipments from Australia were down by (0.36) Mt WoW. Shipments from Brazil were down by (0.23) Mt WoW.

Exhibit 1: Weekly data summary

	Steel			Iron Ore		
	Volume (kt) / rate (%)	WoW	YoY	Volume (kt) / rate (%)	WoW	
Inventory - Traders	11,787	0.8%	27.1%	Inventory - Ports	153,700	-1.8%
Inventory - Mills	4,472	0.0%	7.6%	Inventory - Per Mill	218	1.1%
Weekly Consumption - Long	2,734	-3.8%	-9.1%	Operating rate	61.1%	(0.0 ppts)
Weekly Consumption - Flat	5,506	-1.6%	-2.9%	Average daily output	386	-0.1%
Weekly Output - Long	2,816	2.5%	-5.3%	Shipments - Australia		-0.36Mt
Weekly Output - Flat	5,558	0.9%	-2.4%	Shipments - Brazil		-0.23Mt
Utilization - 247 mills	89.8%	(0.8 ppts)	(1.0 ppts)			
Utilization - EAF	55.7%	(1.3 ppts)	3.9 ppts			

Source: Mysteel, Morgan Stanley Research. Note: EAF = electric arc furnace.

Exhibit 2: Weekly steel demand



Source: Mysteel, Morgan Stanley Research

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GREATER CHINA MATERIALS

Asia Pacific

Industry View

Attractive

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Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/23/2026)
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Anhui Honglu Steel Construction (002541.SZ)	U (12/16/2025)	Rmb20.33
CGN Mining Co Ltd (1164.HK)	O (01/18/2023)	HK\$2.53
Chengxin Lithium Group Co. Ltd. (002240.SZ)	E (12/16/2025)	Rmb30.42
GEM Co Ltd (002340.SZ)	U (04/20/2026)	Rmb6.66
Shenzhen Kedali Industry Co Ltd (002850.SZ)	O (08/21/2023)	Rmb185.11
Sinomine Resource Group Co Ltd (002738.SZ)	O (12/16/2025)	Rmb50.74
Yongxing Special Materials Technology (002756.SZ)	E (11/25/2022)	Rmb45.88
Zhejiang Huayou Cobalt Co Ltd (603799.SS)	O (10/08/2025)	Rmb41.55
Hannah Yang, CFA		
China Hongqiao Group (1378.HK)	O (09/15/2023)	HK\$23.94
Chuangxin Industries Holdings Ltd. (2788.HK)	O (03/19/2026)	HK\$17.12
Flat Glass Group Co Ltd (6865.HK)	O (07/30/2020)	HK\$6.67
Flat Glass Group Co Ltd (601865.SS)	O (07/30/2020)	Rmb9.77
MMG Ltd (1208.HK)	O (12/16/2024)	HK\$8.74

Shandong Pharmaceutical Glass Co. Ltd. (600529.SS)	U (04/20/2026)	Rmb18.98
Shenhua Coal and Power (000933.SZ)	O (09/02/2025)	Rmb26.26
Tianshan Aluminum (002532.SZ)	E (07/08/2026)	Rmb13.22
Xinyi Glass Holding Limited (0868.HK)	U (05/14/2024)	HK\$9.33
Zhongfu Shenying Carbon Fiber Co Ltd (688295.SS)	O (08/25/2023)	Rmb40.55
Rachel L Zhang		
Aluminum Corp. of China Ltd. (601600.SS)	O (11/30/2020)	Rmb9.78
Aluminum Corp. of China Ltd. (2600.HK)	O (11/30/2020)	HK\$8.63
Baoshan Iron & Steel (600019.SS)	O (01/16/2016)	Rmb5.97
Beijing New Building Materials (000786.SZ)	O (04/09/2024)	Rmb19.51
Beijing Oriental Yuhong Waterproof Techn (002271.SZ)	E (09/25/2024)	Rmb11.47
China Jushi (600176.SS)	O (12/22/2020)	Rmb38.36
China Lesso Group Holdings Ltd (2128.HK)	U (10/08/2025)	HK\$4.06
China Steel Corp. (2002.TW)	U (12/16/2025)	NT\$19.10
CMOC Group Ltd (3993.HK)	O (09/24/2019)	HK\$17.61
CMOC Group Ltd (603993.SS)	O (06/21/2024)	Rmb20.03
CNGR Advanced Material Co., Ltd. (300919.SZ)	E (01/12/2026)	Rmb41.13
CNGR Advanced Material Co., Ltd. (2579.HK)	O (01/12/2026)	HK\$26.94
FangDa Carbon New Material Co. Ltd. (600516.SS)	U (12/16/2024)	Rmb5.19
Ganfeng Lithium Co. Ltd. (002460.SZ)	O (04/20/2026)	Rmb51.19
Ganfeng Lithium Co. Ltd. (1772.HK)	O (12/16/2025)	HK\$40.50
Henan Liliang Diamond Co. Ltd (301071.SZ)	U (04/20/2026)	Rmb60.14
Jiangsu Dingsheng New Materials (603876.SS)	U (04/20/2026)	Rmb21.10
Jiangxi Copper (0358.HK)	O (10/08/2025)	HK\$36.18
Jiangxi Copper (600362.SS)	O (10/08/2025)	Rmb45.06
JL Mag Rare-Earth Co. Ltd (6680.HK)	O (04/23/2025)	HK\$17.14
JL Mag Rare-Earth Co. Ltd (300748.SZ)	O (04/23/2025)	Rmb25.90
Nine Dragons Paper (2689.HK)	E (01/04/2023)	HK\$7.86
Shandong Gold Mining Co. Ltd (600547.SS)	E (07/09/2026)	Rmb27.42
Shandong Gold Mining Co. Ltd (1787.HK)	E (07/09/2026)	HK\$20.04
Shandong Nanshan Aluminium Co. (600219.SS)	E (07/08/2026)	Rmb4.79
Tianqi Lithium Industries Inc. (9696.HK)	O (12/16/2025)	HK\$34.42
Tianqi Lithium Industries Inc. (002466.SZ)	O (04/20/2026)	Rmb46.38
Weixing New Building Materials (002372.SZ)	U (10/08/2025)	Rmb8.12
Zhaojin Mining Industry (1818.HK)	E (07/09/2026)	HK\$20.82
Zijin Gold International (2259.HK)	O (11/06/2025)	HK\$119.50
Zijin Mining Group (2899.HK)	O (11/06/2025)	HK\$33.52
Zijin Mining Group (601899.SS)	O (11/06/2025)	Rmb33.06

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.